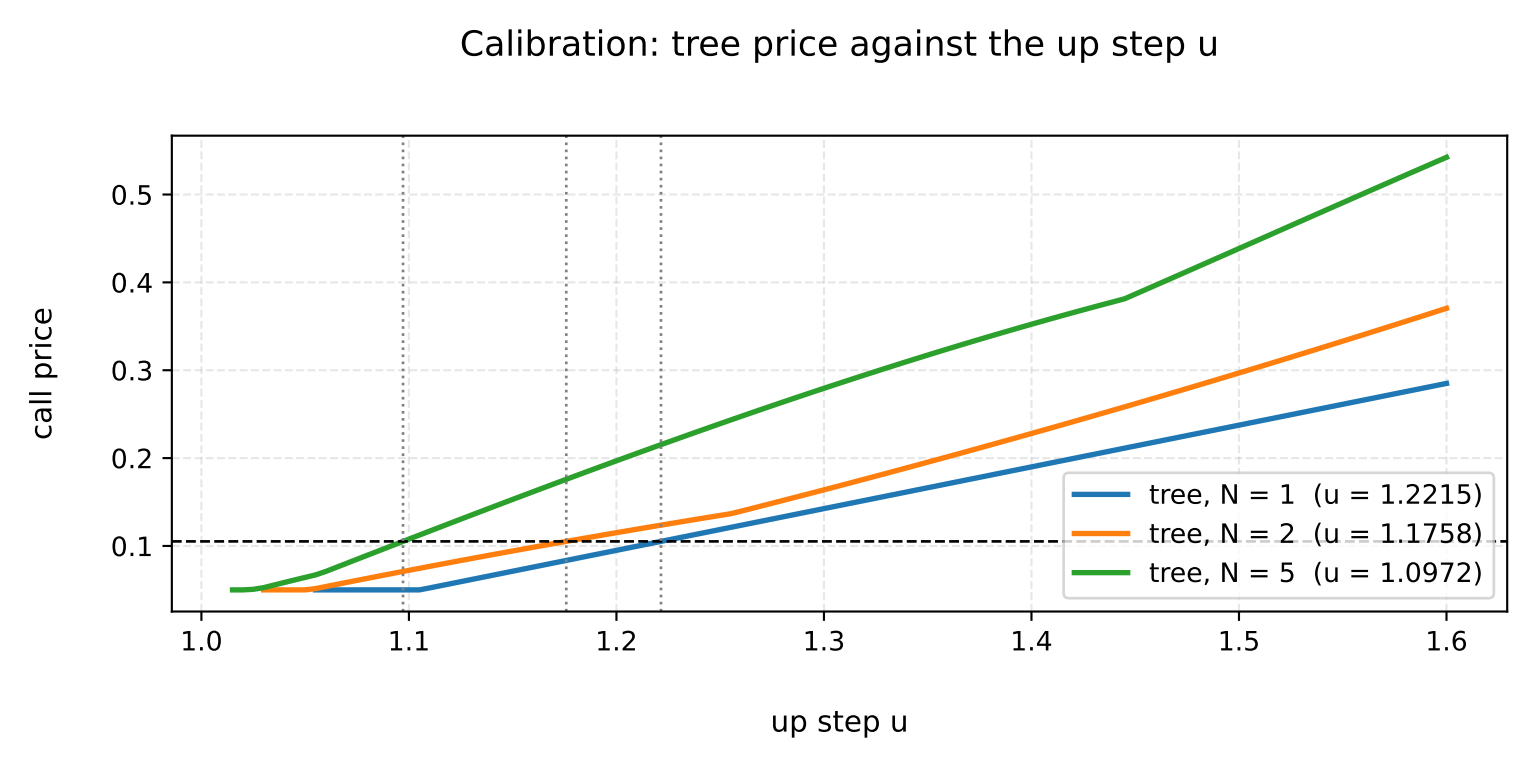
Calibration: tree price against the up step u
call price
up step u
0.1
0.2
0.3
0.4
0.5
1.0
1.1
1.2
1.3
1.4
1.5
1.6
tree, N = 1 (u = 1.2215)
tree, N = 2 (u = 1.1758)
tree, N = 5 (u = 1.0972)